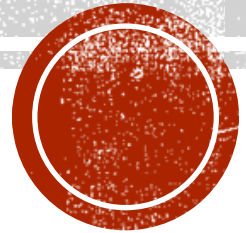
LEADERSHIP & MANAGEMENT

by ÖZLEM YILMAZ



EVALUATION OF THE LECTURE

- Semester evaluation (YİDN): 60%
  - Midterm: 50%
  - Quiz: 25%
  - LI:25%
- Final: 40%
- 30%=> absenteeism = FF
- Active participation to the discussions & cases will be appreciated with '+' credits

THE TOPICS OF THE LECTURE

- Psychological basis
- Fundamentals
- What leaders do
- What makes a leader
- Strategic skills and talents
- Leadership vs Management
- Leadership theories
- What not to do

LEADERSHIP X MANAGEMENT

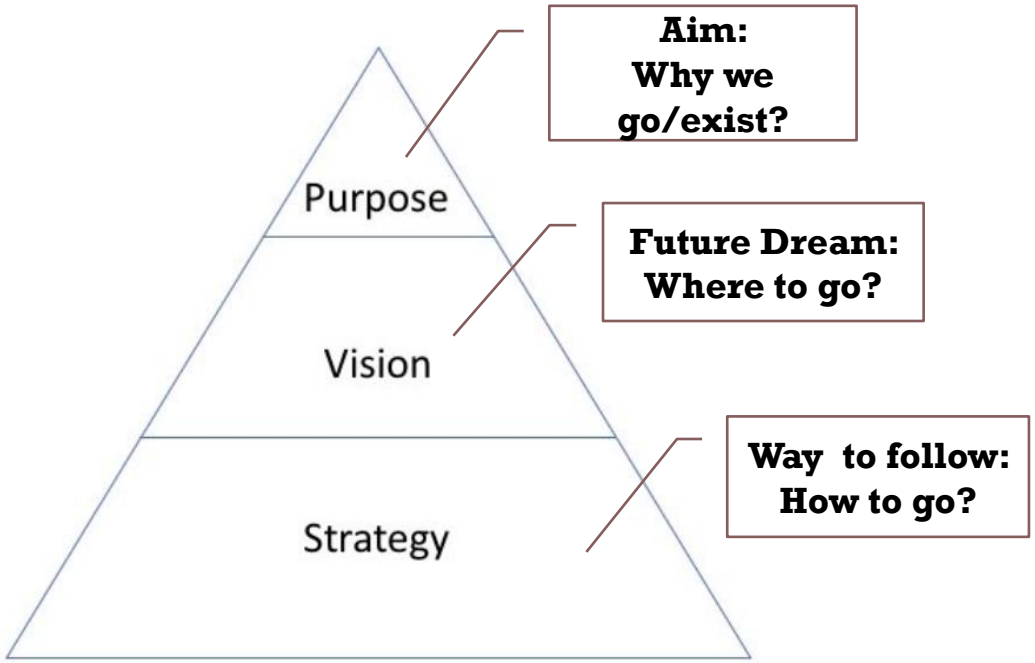
‘An army of sheep led by a lion is better than an army of lions led by a sheep’

Alexander the Great

WHAT IS THE JOB OF A LEADER?

…TO GET RESULTS!

- What do leaders do?
  - …create a mission/purpose
  - …imagine a dream/vision
  - …set a strategy/create a path to follow
  - …inspire & motivate people to follow



The leader's singular job is **to get results!**

LEADERSHIP X MANAGEMENT

DISTINCTIVE ASPECTS…

Leadership	Management
…is about coping w/producing **change** …is about **setting the direction** of the change …involves **'setting direction'**, **'aligning people'** …provides **inspiration & motivation** to people …is more **inductive** in nature …is about **doing the right thing** **…**concentration is on **how**	…is about coping w **complexity** …brings **order, predictability** to a situation …involves **'planning & budgeting'**, **'organizing & staffing'** …provides **control and solution to problems** …is more **deductive** in nature …is about **doing things right** **…**concentration is on **what**

WHY PEOPLE NEED LEADERS?

WHY PEOPLE NEED LEADERS?

- **The Need for Survivol,**
  - the most fundamental human need is to **stay alive**
    - Childhood (early ages), the first leaders are the parents
    - Adulthood, we seek new leaders to show us how to behave, what to do, and what results to expect. These leaders could be friends, lecturers, or an immediate boss, and you may not think of these people as leaders in your own mind, but in effect you seek these people out to guide you and to keep you safe

WHY PEOPLE NEED LEADERS?

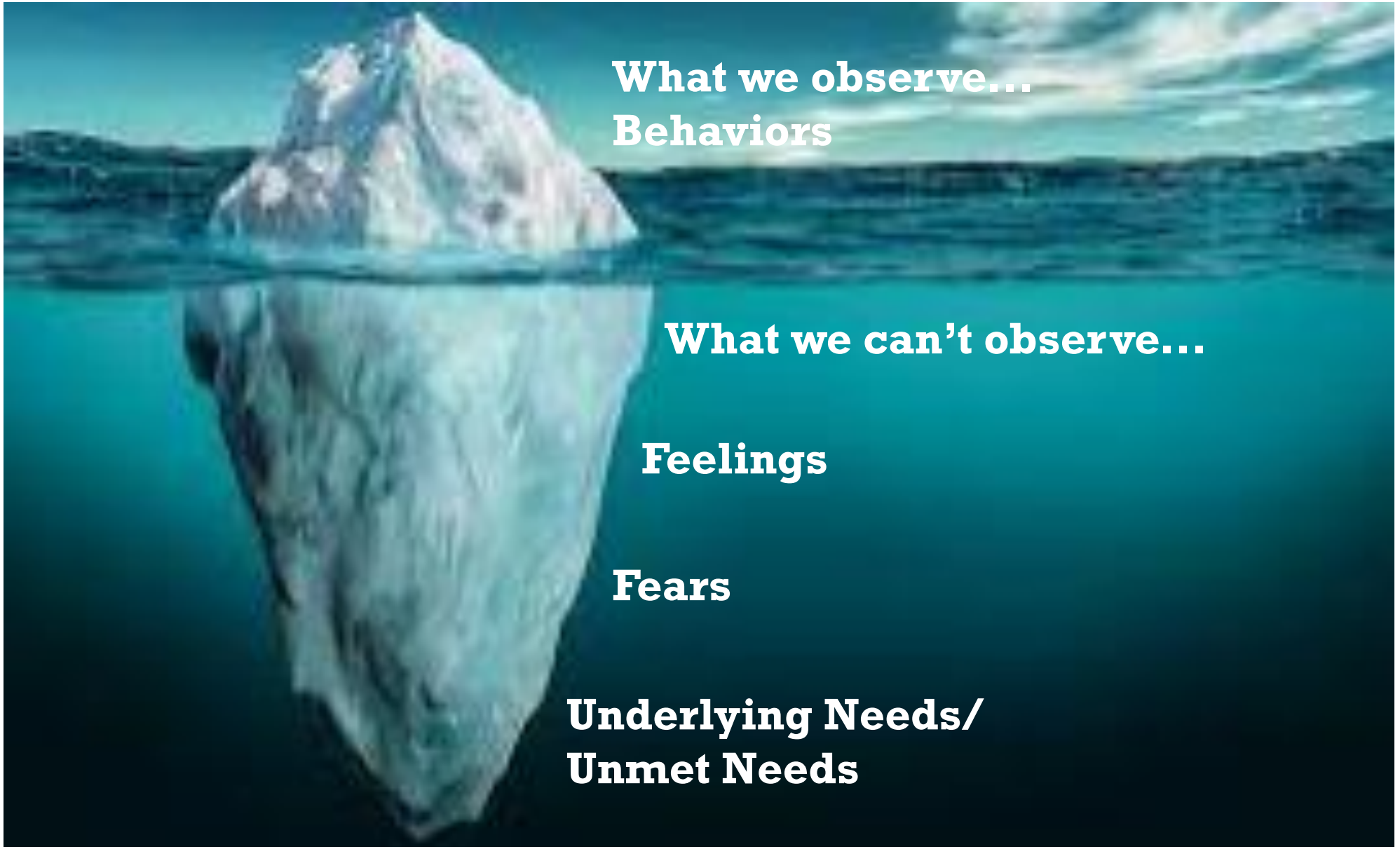
- **The Need for Purpose,**
  - why am I here?
    - For people who are religious, they will turn to a religious leader to show them the way.
    - On a more mundane day-to-day level, we turn to our colleagues, bosses, and lovers to help us make sense of the world and clarify our thinking. We do this because the "why am I here?" question is innate.

WHY PEOPLE NEED LEADERS?

- **The Need for Esteem,**
  - the desire to be successful
    - … since successful people are more likely to have a good job ensuring their safety is secure, and also more likely to attract and keep a good mate, increasing the chance of maintaining a sense of purpose.
    - …starts in school when we use teachers and parents to orientate us towards success. Later in life it means orientating towards good bosses and colleagues to help us grow and achieve success.

WHEN DEALING W PEOPLE, REMEMBER YOU ARE NOT DEALING W CREATURES OF *LOGIC*, BUT CREATURES OF *EMOTION*...

DALE CARGENIE


What we observe…
Behaviors
What we can’t observe…
Feelings
Fears
Underlying Needs/
Unmet Needs

ENGAGEMENT & EMOTIONS…

- The Need for;
  - Survival
  - Purpose
  - Esteem

Emotional engagement

Rational engagement

Trust is what rolls the leadership hoop!

Logic & cause-effect realations

Roosevelt,

‘to handle yourself use your head, but to handle others use your heart’

WHAT IS EMOTIONAL INTELLIGENCE?

- EQ is understanding your own and other people's emotional makeup well enough to **communicate effectively, to overcome challenges and to defuse conflict**
  - It is not controlling your anger and/or getting along w people

EQ is a sine qua non of leadership…

W/o it, a person can have an incisive & analytical mind, the best training in the world, and endless supply of smart ideas, but he/she still won't make a great leader.

EQ, SINE QUA NON OF LEADERSHIP

Motivation	• A passion to work for reasons that go beyond money and status • A propensity to pursue goals with energy and persistence • Strong drive to achieve • Optimism, even in the face failure • Commitment
Empathy	• The ability to understand the emotional makeup of other people • Skill in treating people according to their emotional reactions • Cross-cultural sensitivity
Social skills	• Persuasiveness • Effectiveness in leading change • Expertise in building and leading teams • Managing relationships • Building networks
Self-awareness	• Self-confidence • Ability to recognize the mood, and emotion of self
Self regulation	• Trustworthiness • Comfort with ambiguity

EQ, SINE QUA NON OF LEADERSHIP

- **EQ, comes with the person's nature or life experience?**
  - Both!
  - Scientific inquiry strongly suggests that there is a genetic component to EQ
  - Psychological and developmental research indicates that nurture plays an important role

- One thing is certain: EQ increases w age, with the old-fashioned word: maturity!

EQ, SINE QUA NON OF LEADERSHIP

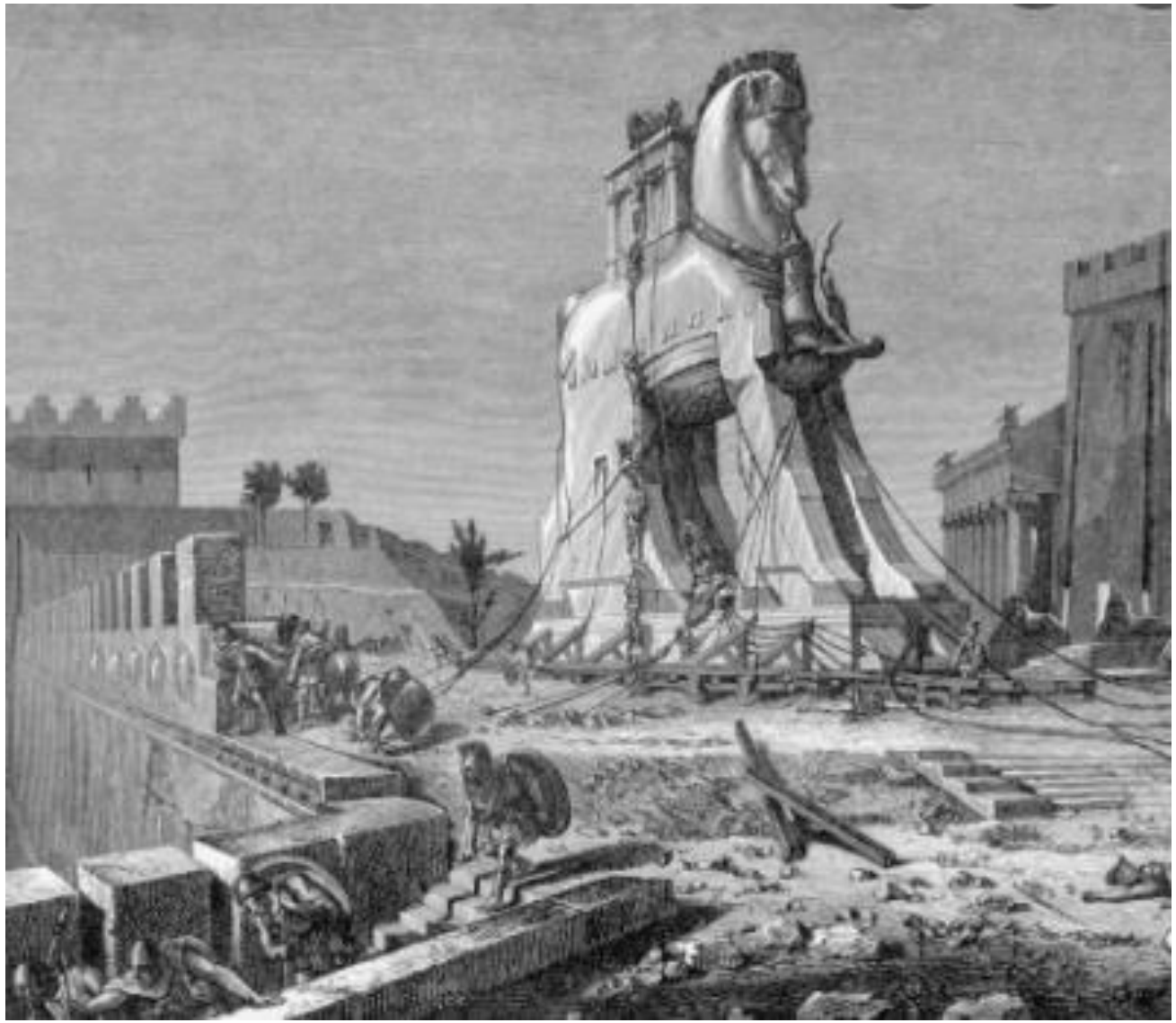
- EQ is born largely in the neurotransmitters of the brain's limbic system
  - Limbic system governs feelings, impulses and drives
  - Limbic system learns best through motivation, extended practice and feedback.

- Neocortex, which governs analytical and technical ability
  - The neocortex grasps concepts and logic.
  - It is the part of the brain that figures out how to use a computer

…CAPTURING THE MINDS, HEARTS & SPIRITS

"The challenge of leadership is to be strong, but not rude; be kind, but not weak; be bold, but not bully; be thoughtful, but not lazy; be humble, but not timid; be proud, but not arrogant; have humor, but without folly." –Jim Rohn, entrepreneur and motivational speaker





TROJAN WAR…

- …Trojans X Greeks
- …Paris took Helen from her husband Menelaus, king of Sparta, brother of Agamemnon
- …took 10 years
- …many heroes; Odysseus, Achilleus, Hector, Paris…
- …the city fell to the ruse of the Trojan War

ODYSSEUS…

- …mental agility & wisdom
- Odysseus;
  - being strictly tied to the **ultimate goal, persistence**
  - sees the **big picture and has a future estimation**
  - he **manages the perception of others;** knows deeply how others see & understand the things
  - builds the complicated/sohisticated **opportunities & and threads' network** to achieve the goal
  - does not see **passion X logic as opposite things**
  - is **adaptive and flexible** to changes, being **unexpected**

IS STRATEGY CHEATING?

… the basis should be the **ethical** fundementals

…. have to be judged in the context of **society's standards of right and wrong**

WHAT IS ETHICAL?

Suppose you are the driver of a trolley car hurtling down the track at sixty miles an hour. Up ahead you see five workers standing on the track, tools in hand. You try to stop, but you can't. The brakes don't work. You feel desperate, because you know that if you crash into these five workers, they will all die. (Let's assume you know that for sure.) Suddenly, you notice a side track, on to the right. There is a worker on that track, too, but only one. You realize that you can turn the trolley car onto the side track, killing the one worker, but sparing the five.

What should you do?

Now consider another version of the trolley story. This time, you are not the driver but an onlooker, standing on a bridge overlooking the track. (This time, there is no side track.) Down the track comes a trolley, and at the end of the track are five workers. Once again, the brakes don't work. The trolley is about to crash into the five workers. You feel helpless to avert this disaster—until you notice, standing next to you on the bridge, a very heavy man. You could push him from bridge, onto the track, into the path of the oncoming trolley. He would die, but the five workers would be saved. (You consider jumping onto the track yourself, but realize you are too small to stop the trolley.)

Would pushing the heavy man onto the track be the right thing to do?

In the summer of 1884, four English sailors were stranded at sea in a small lifeboat in the South Atlantic, over a thousand miles from land. Their ship, the Mignonette, had gone down in a storm, and they had escaped to the lifeboat, with only two cans of preserved turnips and no fresh water. Thomas Dudley was the captain, Edwin Stephens was the first mate, and Edmund Brooks was a sailor—"all men of excellent character," according to newspaper accounts. 1 The fourth member of the crew was the cabin boy, Richard Parker, age seventeen. He was an orphan, on his first long voyage at sea.

From the lifeboat, the four stranded sailors watched the horizon, hoping a ship might pass and rescue them. For the first three days, they ate small rations of turnips. On the fourth day, they caught a turtle. They subsisted on the turtle and the remaining turnips for the next few days. And then for eight days, they ate nothing.

By now Parker, the cabin boy, was lying in the corner of the lifeboat. He had drunk seawater, against the advice of the others, and become ill. He appeared to be dying.

If you were the captain, what would you do?

The captain him with a penknife, stabbing him in the jugular vein. For four days, the three men fed on the body and blood of the cabin boy. And then help came and they were rescued.

The three survivors were picked up. Upon their return to England, they were arrested and tried. They freely confessed that they had killed and eaten Parker. They claimed they had done so out of necessity.

Suppose you were the judge. How would you rule? Put aside the question of law and assume that you were asked to decide whether killing the cabin boy was morally/ethically right & permissible?

- **Strategies are means to ends.**
- **Strategy is concerned w <u>understanding</u>, <u>choosing</u> and <u>implementing</u>**
  - …a complex process that can be considered from a number of different perspectives

CLAUSEWITZ…

- …one of the fathers of modern warfare
- …Prussian war strategist who lived in the late 18th and early 19th century
- …was born into a military family and began his own military career at the age of 12 eventually reaching the rank of Major General in the Army
- …was commanding officer during the Battle of Waterloo, where Napoleon was defeated
- …his materpiece is ***'On War'***
  - …written nearly two centuries ago, *On War*, classic guide to military strategy, remains essential reading for modern business strategists.
- … Clausewitz's approach to strategic theory is **realistic**

CLAUSEWITZ…

Clausewitz,

- …answers the very basic question of ***'why we need a strategy?'***
  - ***Strategy is about making choices, what to do and what not to do,*** on how we will concentrate our limited resources to achieve **competitive advantage**
  - defines it as '**fog of war',** his notion ***"fog of war"*** figuratively means uncertainty of assessment and evaluation of one's own skills, opponent's skills and the whole situation during the collision or ongoing battle that takes place usually under stress.

- Strategy,
  - … is **the sum of decisions, actions, and reactions** in an **uncertain** and **dangerous** context
  - …is about **picking the right battles**
  - …'s key role is to define **a winning proposition**
  - **…**should be **simple; complexity paralyzes, simplicity empowers.**
  - …should be **dynamic & adaptive**, static methods don't work
  - …should have a **fit** among each and every activity

'The talent of the strategist is to identify the decisive point and to concentrate everything on it, removing forces from secondary fronts and ignoring lesser objectives.'

- **Identify:** Good strategy always starts with a situation analysis to create a deep understanding of the environment and our own realities. ***"intelligence precedes operations"***

- **The decisive point:** He refers to the central animating idea around which we must organize all our decisions and activities in order to outperform our competitors. Once we have identified this, it's all about focus and determination.

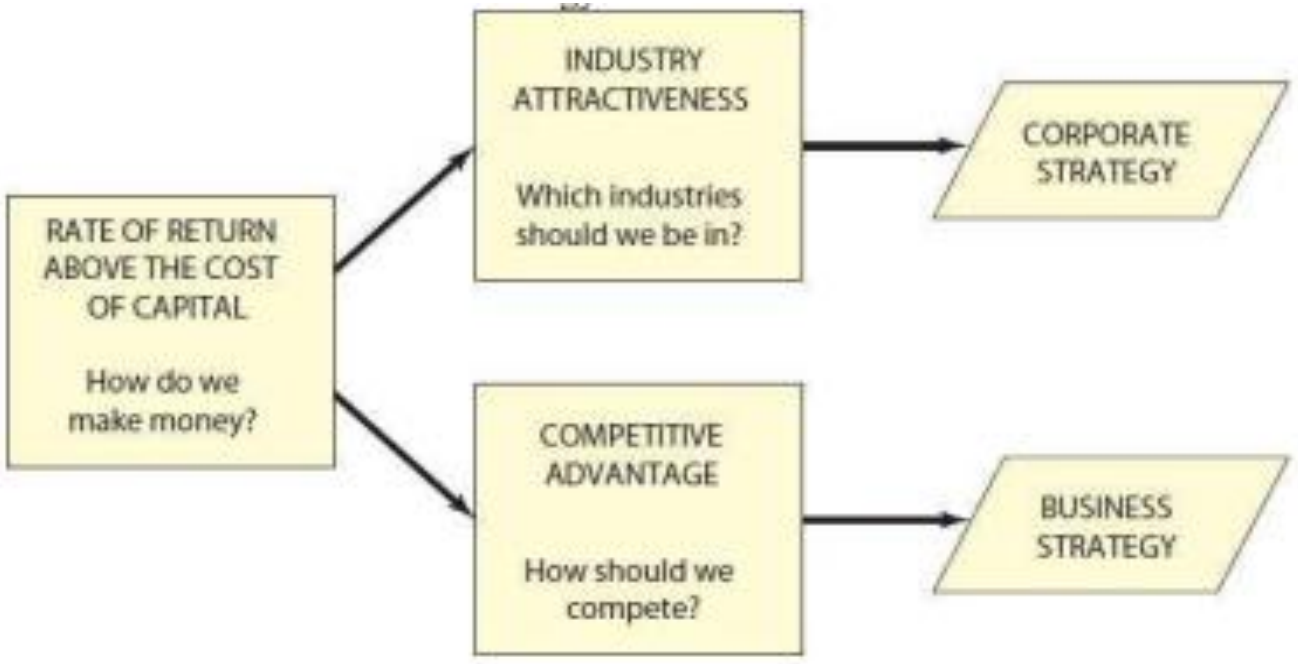
- **Concentrate:** "concentrate *everything*" — not only our physical resources, but also the hearts and minds of our people.

- **Remove:** Every new thing we choose to do subtracts effort from everything else we do. Making choices means deciding what we will ***not*** **do**. These subtractions are the toughest decisions of all, the most dangerous choice of all is not choosing.

- **Ignore:** A winning strategy requires a disciplined mind and a steadfast character. No distractions; no sideshows. We must always keep the main thing the main thing.

STRATEGY…

- …How do we make money? Where to compete? How to compete?

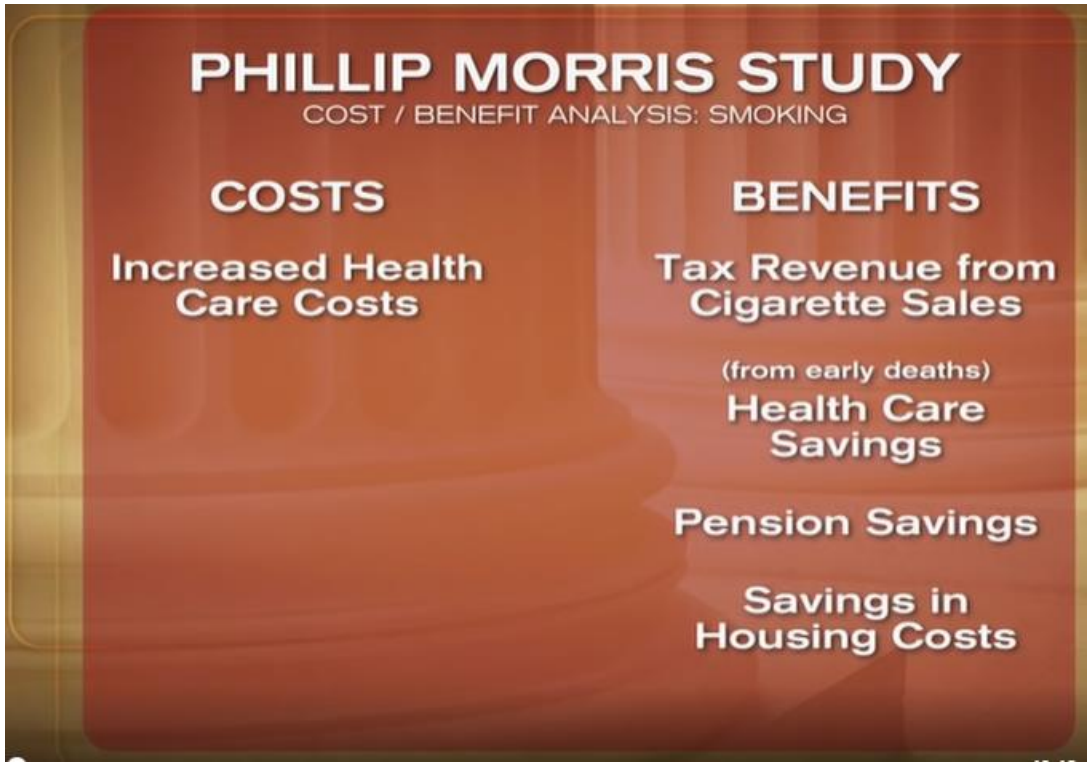


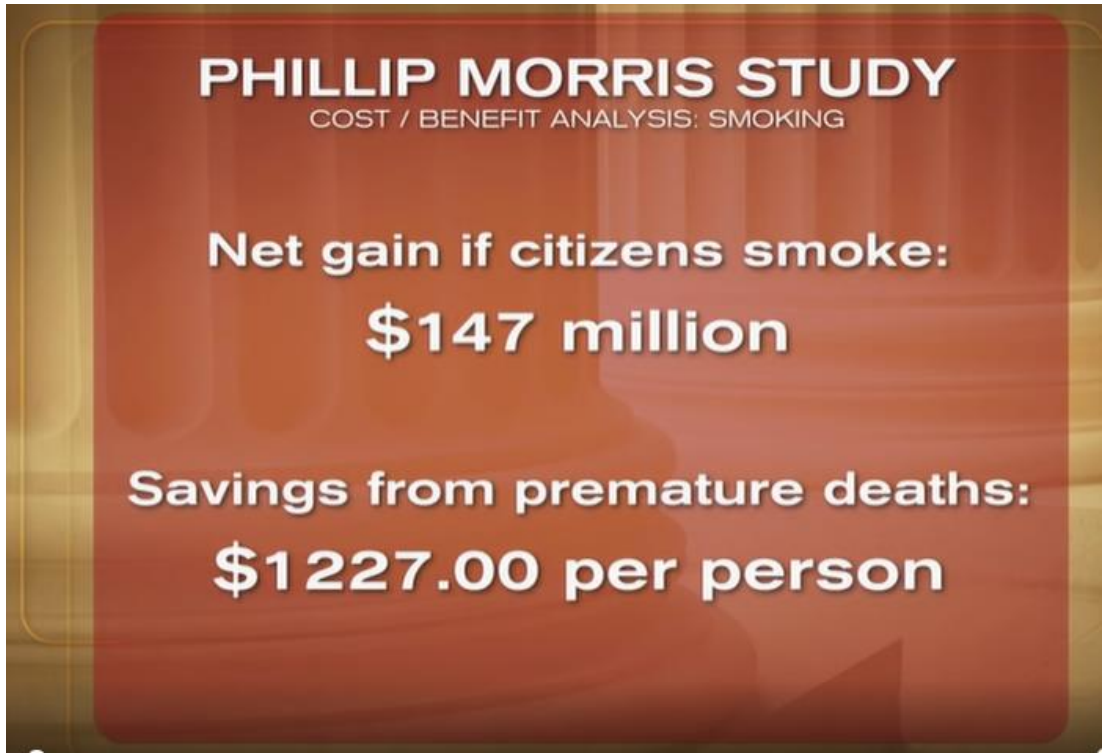
COST X BENEFIT ANALYSIS...

- ...a systematic approach used to assess the advantages (benefits) and disadvantages (costs) with a particular decision, project or policy



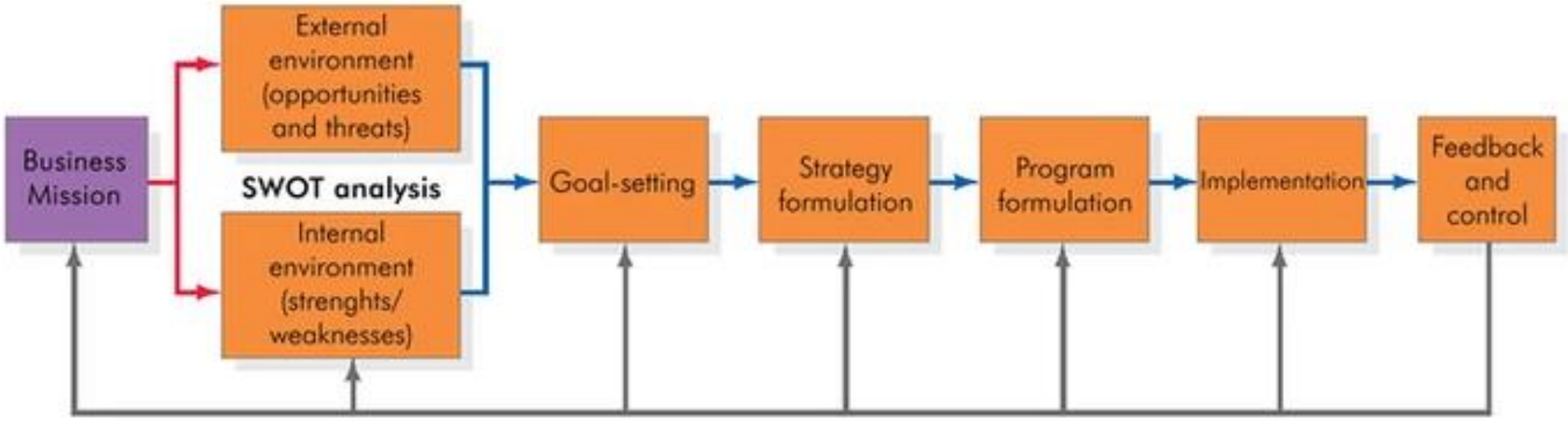

REPAIRING THE FORD PINTO
COSTS
$11 per part
x 12.5 million cars
= $137 million
(to improve safety)
BENEFITS
180 deaths x $200,000
+ 180 injuries x $67,000
+ 2000 vehicles x $700
= $49.5 million


PHILLIP MORRIS STUDY
COST / BENEFIT ANALYSIS: SMOKING
COSTS
Increased Health Care Costs
BENEFITS
Tax Revenue from Cigarette Sales
(from early deaths)
Health Care Savings
Pension Savings
Savings in Housing Costs


PHILLIP MORRIS STUDY
COST / BENEFIT ANALYSIS: SMOKING
Net gain if citizens smoke:
$147 million
Savings from premature deaths:
$1227.00 per person

SWOT ANALYSIS…

- …analysis of ***key macroeconomic environment forces*** *(demographic/economic, technological, political/legal, social/cultural)* and ***significant microenvironment actors*** *(customers, competitors, distribution channels, suppliers)*

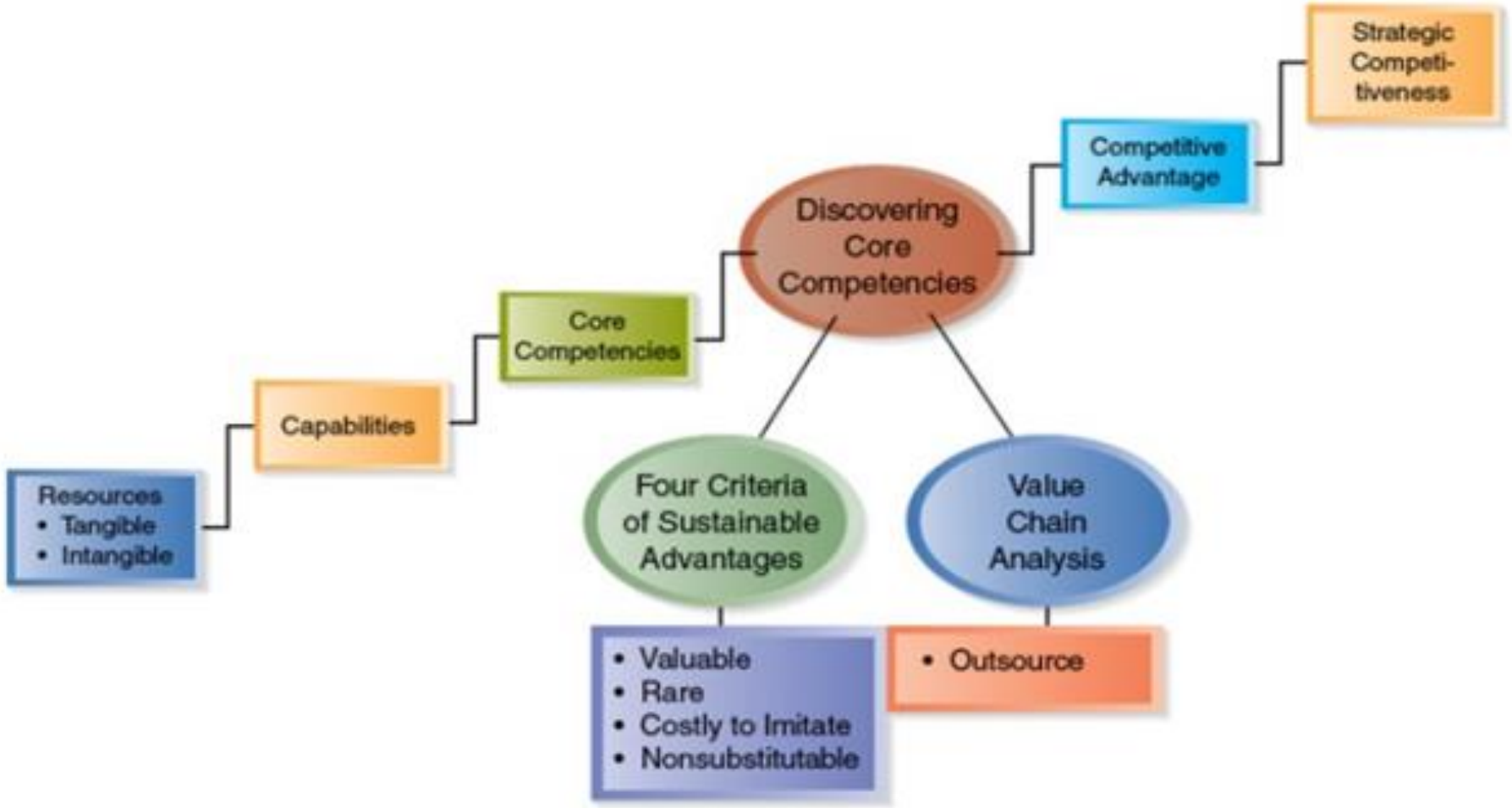


SWOT ANALYSIS…

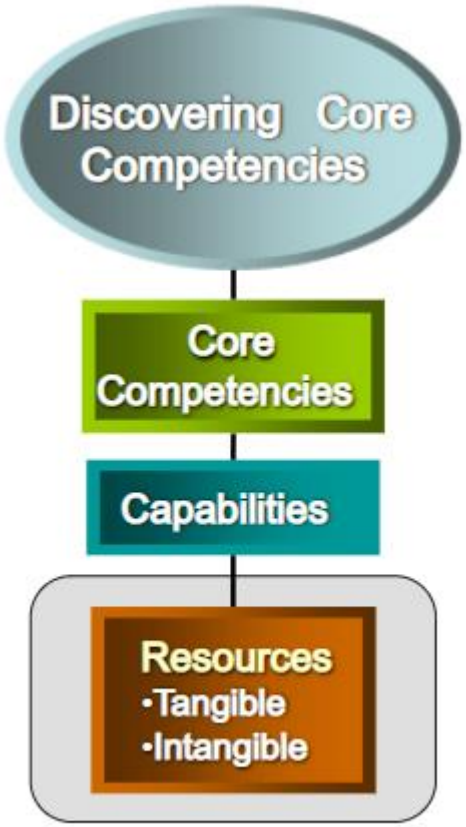
- **Strengths**
  - … are internal factors that ***represent a competitive advantage***
- **Weaknesses**
  - …are internal ***factors that have to be developed*** to unleash a business's full potential

- ***An internal analysis***; some resources are critical to produce, sell, distribute goods and services such as labor costs, access to financial resources and raw materials, protected and regulated markets- ***creating core competencies***

INTERNAL ANALYSIS…



INTERNAL ANALYSIS…



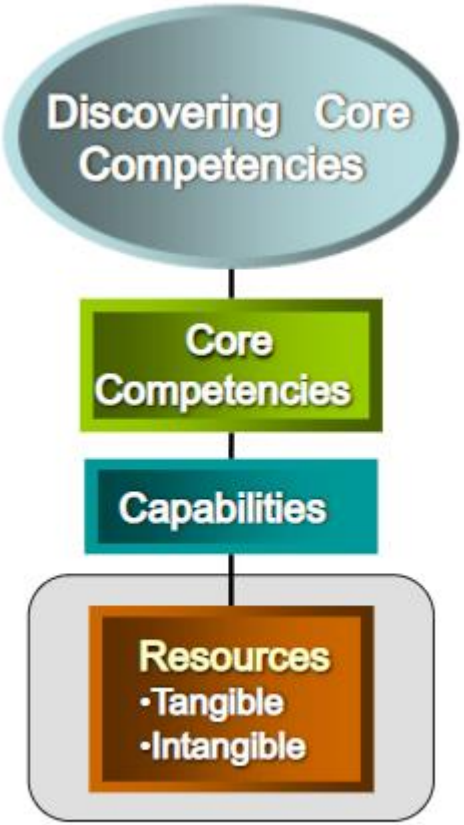
Financial Resources
- The firm's borrowing capacity
- The firm's ability to generate internal funds

Organizational Resources
- The firm's formal reporting structure and its formal planning, controlling, and coordinating systems

Physical Resources
- Sophistication and location of a firm's plant and equipment
- Access to raw materials

Technological Resources
- Stock of technology, such as patents, trade-marks, copyrights, and trade secrets

INTERNAL ANALYSIS...



Human Resources

- Knowledge
- Trust
- Managerial capabilities
- Organizational routines

Innovative Resources

- Ideas
- Scientific capabilities
- Capacity to innovate

Reputational Resources

- Reputation with customers
- Brand name
- Perceptions of product quality, durability, and reliability
- Reputation with suppliers

SWOT ANALYSIS…

- **Opportunities**
  - …concentration is on external factors that ***can positively contribute to a company's growth***
  - …is a condition in the general environment that, if expoited effectively, helps a company to reach strategic competitiveness
  - …the purpose is to discern new opportunities
- **Threats**
  - … concentration is on external factors that ***can block a company's growth***
  - …could be classified according to their seriousness and probability of occurrence

- *An **ideal business** is high in major opportunities and low in major threats*
- *A **speculative business** is high in both*

SITUATIONAL LEADERSHIP…

"Effective leadership is about striking the right balance between conditions, content, and behavior." *by leadership researchers White and Hodgson*

- The best leaders have not only the right traits but also the ability to ***assess the needs of their followers, analyze the situation and act accordingly***.
  - …different situations demand different styles of leadership and decision-making
  - …a leader must act by judging the situation they are facing
  - …a leader must be able to adapt his style and approach to diverse circumstances

- Two approaches;
  - Paul Hersey and Ken Blanchard's **Situational Leadership Theory**
  - Daniel Goleman's **Model of Situational Leadership**

	Coercive	Authoritative	Affiliative	Democratic	Pacesetting	Coaching
Modus Operandi of the Leader	Demands immediate compliance	Mobilizes people toward a vision	Creates harmony and builds emotional bonds	Forges consensus through participation	Sets high standards of performance	Develops people for the future
The style in a phrase	'Do what I tell you'	'Come w me'	'People come first'	'What do you think?'	'Do as I do, now'	'Try this'
Underlying EQ component	Drive to achieve, initiative, self-control	Self-confidence, empathy, change catalyst	Empathy, building relationships, communication	Collaboration, team leadership, communication	Conscientiousness, drive to achieve, initiative	Developing others, empathy, self-awareness
When the style works best	In a crisis, to kick start of a turnaround, or w problem subordinates	When changes require a new vision, or when a clear direction is needed	To heal rifts in a team or to motivate people during stressful circumstances	To build buy-in or consensus or to get input from valuable subordinates	To get quick results from a highly motivated or competent team	To help the person improve performance or develop long term strengths
Overall impact on climate	Negative	Most strongly positive	Positive	Positive	Positive	Positive

THE COERCIVE STYLE

- ...the extreme top down decision making kills new ideas on the vine
- ...people feel so disrespected that they think 'I won't bring my ideas up, they'll only be shut down'
- ...people's sense of responsibility evaporates; unable to act on their own initiative
- ...they lose sense of ownership and accountability for their performance
- ...erodes pride
- ...undermines the leader's prime tool-motivating people by showing them how their job fits into a grand, shared mission= diminished clarity and commitment

THE AUTHORITATIVE STYLE

- ...visionary
- ...motivates people by making clear to them how their work fits into a larger vision for the organization, so that people understand what they do matters and why = purpose & engagement
- ...maximizes commitment to the organization's goals and strategy, the standards for the success are clear and also the rewards= high performance
- ...gives people freedom to innovate, experiment and take calculated risks= ownership & accountability

THE AFFILIATIVE STYLE

- ...revolves around people, values individuals & emotions more than tasks and goals
- ...strives to keeps employees happy and to create harmony among them
- ...builds strong emotional bonds=loyalty
- ...has positive effect on communication= sharing of ideas & inspiration
- ...gives people freedom to do their own job & drives flexibility & trust= allowing innovation and risk taking
- ...masters of building a sense of belonging
- ...rarely offers constructive advice on how to improve

THE DEMOCRATIC STYLE

- ...invests time getting people's ideas and buy-in
- ...builds trust, respect and commitment
- ...letting people have a say in decision
- ...builds strong emotional bonds=loyalty
- ...drives up responsibility and accountability
- ...can escalate conflicts, create endless meetings w/o consensus= feeling of confusion and leaderless

THE PACESETTING STYLE

- ...sets extremely high performance standards and exemplifies them him/herself
- ...obsessive about doing things better and faster, asks the same everyone around
- ...quickly pinpoints poor performers and demands more from them, if necessary replaces them
- ...destroys climate, employees feel overwhelmed by the demands of excellence and the morale drops
- ...people feel untrusted= flexibility & responsibility evaporate, work becomes task-focused and boring
- ...gives no feedback,
- ...commitment dwindles under the regime of pacesetting leader because people have no sense of how their personal efforts fit into the big picture

THE COACHING STYLE

- ...helps employees identify their unique strengths and weaknesses & ties them to their personal and career aspirations
- ...encourages employees to establish long-term develoment goals help them conceptualize a plan for attaining them
- ...excels at delegating, gives employees challenging assignments even if that means the tasks won't be accomplished quickly
- ...willing to pu-up w short-term failure if it furthers long-term learning
- ...primarily focuses on personal development, not on immediate work-related tasks
- ...requires constant dialogue
- ...positive impact on performance and climate= the implicit message is 'I believe in you, I'm investing in you, and I expect your best efforts'

THE EFFECTIVE LEADERS…

- Leaders who have mastered four or more- especially authoritative, democratic, affiliative and coaching styles- have the very best climate and business performance.

- They don't mechanically match their style to fit a checklist of situations, they are far more fluid. They are sensitive to the impact they are having on others and adjust their styles to get the best results.

- For instance; They can read in the first minutes of the conversation that a talented but underperforming employee has been demoralized by an unsympathetic, do-it-the way I tell you manager and needs to be inspired through a reminder of why her work matters = **EQ!**

CASE I:

- A computer company was in a crisis mode- its sales and profits were falling, the shareholders were in a uproar. The board brought a new CEO with a reputation as a turnaround artist.
  - He set to work chopping jobs, selling off divisions and making the tough decisions that have been executed years before.
  - He created a reign of terror, roaring his displeasure at the slightest misstep.
  - Defections from all levels due to bullying and demeaning.
  - The company was saved, at least in the short-term.

CASE I: *Coercive Style!*

- The outcomes:
  - The CEO's direct reports frightened by his tendency to blame, thus they stopped bringing him any news at all
  - Morale was all-time low
  - Commitment was suffering
  - Resignations of critical people
- The CEO was eventually fired by the BoD.
- This style should be used only in extreme caution and in few situations like turnaround or genuine emergency.
  - This style can break failed business habits and shock people into new ways of working.

CASE II:

- Sam was a superb technical expert in a large pharma company.
  - He got promoted as the head of a team developing new products
  - The other scientists on the team were also competent and self motivated like Sam
  - A new assignment came and Sam needed to articulate a vision, coordinate projects, delegate responsibility and help others
  - Sam began to slip;
    - not trusting his subordinates were as capable as he was
    - became a micromanager
    - became obsessive and taking over for others when their performance slackened

CASE II: *Pacesetting Style!*

- The outcomes:
  - Instead of trusting his subordinates' to improve with guidance and development, he started working for the entire assignment
  - Sam found himself working nights and weekends
  - Sam's own boss suggested that Sam return to his old job

- This style works well when all employees are self-motivated, highly competent and need little direction or coordination, like R&D groups and legal teams.
  - It gets 'work done done on time, even ahead of schedule.'
  - Pacesetting should never be used by itself like any leadership style

SITUATIONAL LEADERSHIP…

"Effective leadership is about striking the right balance between conditions, content, and behavior." *by leadership researchers White and Hodgson*

- The best leaders have not only the right traits but also the ability to ***assess the needs of their followers, analyze the situation and act accordingly***.
  - …different situations demand different styles of leadership and decision-making
  - …a leader must act by judging the situation they are facing
  - …a leader must be able to adapt his style and approach to diverse circumstances

- Two approaches;
  - Paul Hersey and Ken Blanchard's **Situational Leadership Theory**
  - Daniel Goleman's **Model of Situational Leadership**

SITUATIONAL LEADERSHIP…

- … the need to match two key elements appropriately: the leader's leadership style and the followers' maturity or preparedness levels.
- …identifies four main leadership approaches:
  - **Telling:** Directive and authoritative approach. The leader makes decisions and tells people what to do.
  - **Selling:** The leader is still the decision maker, but he communicates and works to persuade people rather than simply directing them.
  - **Participating:** The leader works with the members to make decisions together. He/She supports and encourages them and is more democratic.
  - **Delegating:** The leader assigns decision-making responsibility to members but oversees their work.

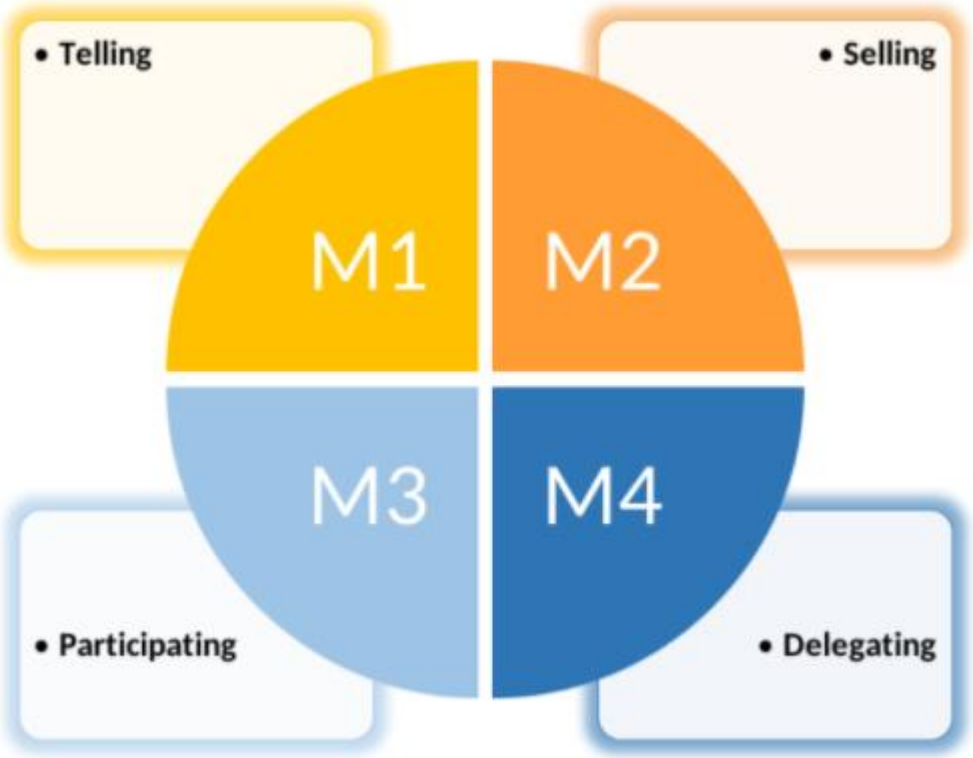
SITUATIONAL LEADERSHIP…

- …identifies four levels of follower maturity:
  - **Level M1:** Followers have low competence and low commitment.
  - **Level M2:** Followers have low competence, but high commitment.
  - **Level M3:** Followers have high competence, but low commitment and confidence.
  - **Level M4:** Followers have high competence and high commitment and confidence.



SITUATIONAL LEADERSHIP…

- ….how it works:
  - Telling style works best for leading employees at the M1 level (low competence, low commitment).
  - Selling style works best for leading employees at the M2 level (low competence, high commitment).
  - Participating style works best for leading employees at the M3 level (high competence, low commitment/confidence).
  - Delegating style works best for leading employees at the M4 level (high competence, high commitment/confidence).



The **Cheshire Cat**;

"That depends a good deal on where **you want** to get to," said the **Cat**. "I don't much care where—" said **Alice**. "Then it doesn't matter which way **you go**," said the **Cat**.

GUIDING VISION…

- **A clear and meaningful vision for the future that a business/community is aspiring will help;**
  - **…**engage people
  - …unlock energy & commitment
  - …guides actions and decisions at all levels
  - …promote consistency of purpose so that everyone works towards the same goal

- An effective vision;
  - …is convincing, realistic and powerful enough to excite and inspire
  - …encapsulates a set of values that will guide decisions and action
  - …flexible enough to allow individual initiative and changing conditions

CHOOSING THE RIGHT APPROACH…

- **Typically there are 6 situations those are heading a business face,**
  - Business start-up
  - Business turnaround
  - Re-alignment
  - Increasing the pace
  - Maintaining growth and success
  - Winding down a business/a part of one
- **Choosing the right approach involves;**
  - …gathering the right information
  - …developing market awareness
  - …deciding what actions needs to be taken
  - …assessing risk
  - …thinking critically

Situation	Description	Typical Challenges	Benefits & Opportunities
Business start-up	• Need to acquire or develop new capabilities to start a new business/project • Includes people, funding, customers, technology, knowledge	• Establishing new structures and systems w/o a clear framework • Building collaborative, high performing team • Managing w limited resources	• Little rigidity in people's thing, consequently business can work well from the outset. • Possibilities can energize people, developing enthusiasm would be helpful
Business turnaround	• Taking a struggling (performing weakly) business, stabilizing it and getting it back on track • It requires determination and capacity to take tough decisions quickly and to set clear priorities	• Revitalizing the organization, inspiring employees and reassuring other stakeholders • Making a swift impact • Making difficult choices (esp. about people)	• Widespread recognition that change is necessary, so that it takes support • Reserve of understanding and goodwill from the outset
Realignment	• Revitalizing a business/product/team • Ensuring the refocus and adaptation to serious challenges (giving cause for concern)	• Leading change • Convincing people of the need for change • Reorganizing the business, setting new priorities, restructuring the top team	• The organization has experience and resources that can be refocused

Situation	Description	Typical Challenges	Benefits & Opportunities
Increasing the pace	• Improving the performance of a good-enough business w the aim of transforming it into a top ranking one/ moving on to a next level	• Requires focus and vigor • Creating an urgent, compelling reason to change • Energizing people • Strengthen line management	• Capabilities already embedded in business, they simply need direction • QW s can help generate momentum
Maintaining growth & success	• Preserving and building on the best features of a team or business	• Requires finding ways to innovate and do even better • Acceptance of new methods and priorities can be difficult • Avoiding decisions that cause problems • Finding ways to build the business	• People are motivated to success and a strong team may be in place • The foundations for continued success may already exist
Winding down	• Closing down or divesting a business that is no longer strategically important or no longer warrants investment	• Maintaining a focused and engaged workforce • Maximizing cash-flow and value for short term • Managing key internal & external stakeholders	• Agenda is clear, timescales are short • Little need for widespread discussion before taking action

LEADERSHIP…

…leadership is about **coping w/producing the change**

- covers **setting the direction of change** by putting a vision and strategy
- being able to generate highly energized behavior of people; **inspires & motivates people** by satisfying basic human needs